

MR PRICE GROUP (MRP)

FINANCIAL MODELLING & INTEGRATED DCF VALUATION SUMMARY

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Currency: ZAR (R'm)	Forecast Horizon: FY2026E - FY2030E

1. EXECUTIVE VALUATION SUMMARY

This report presents the key findings from an integrated three-statement financial model and discounted cash flow (DCF) valuation developed for Mr Price Group (MRP). The model analyses historical financial performance, forecasts future operating performance, and estimates intrinsic business value using a Free Cash Flow to Firm (FCFF) valuation approach.

CORE VALUATION CONCLUSION

Based on a baseline 13.85% Weighted Average Cost of Capital (WACC) and a conservative 3.0% long-term terminal growth rate, the valuation model indicates that Mr Price Group appears undervalued relative to the prevailing market price, implying an intrinsic share price of R219 and an estimated upside of 40.2%.

Core Valuation Parameter	Model Target Value	Market Context & Parameters
Current Market Spot Price	R156.52	Prevailing market close as of 26 May 2026
Implied Intrinsic Share Price	R219.00	Derived fundamental value under baseline assumptions
Base Case Intrinsic Upside	+40.2%	Material upside relative to the current market price
Weighted Average Cost of Capital (WACC)	13.85%	Discount factor applied to multi-stage cash flows
Terminal Growth Rate (g)	3.0%	Gordon Growth Model long-term stable expansion factor

2. COMPANY & STRATEGIC OVERVIEW

Mr Price Group is a prominent South African value-driven retail enterprise listed on the Johannesburg Stock Exchange (JSE). The business maintains diversified retail footprints across major consumer verticals,

including apparel, homeware, sportswear, and telecommunications operations. Positioned within the South African value retail segment, the group relies predominantly on an efficient cash-retail mix alongside structured credit alternatives.

Historically, the corporate framework has reliably demonstrated:

- **Resilient Liquidity:** Strong cash-generative characteristics
- **Consistent Returns:** Stable operating profitability and well-preserved structural EBIT margins.
- **Conservative Balance Sheet:** A historically conservative balance sheet and defensive capital structure.
- **Strategic Expansion:** Continued organic store rollouts supported by inorganic growth initiatives (e.g., the acquisition/integration of Studio 88).

3. HISTORICAL FINANCIAL ANALYSIS & CORE TRENDS

A rigorous review of historical financials from FY2021 to FY2025 was implemented to extract operational efficiency signals and calibrate baseline forecast parameters. Primary observations indicate:

- **Top-Line Expansion:** Revenue growth remained consistently positive over the historical baseline.
- **Margin Pressures:** Gross profit margins experienced slight compression, reflecting regional supply chain input cost pressures.
- **EBIT Stabilization:** Operating profit (EBIT) margins successfully stabilized following near-term adjustments.
- **Working Capital Spikes:** Inventory levels expanded materially following the formal consolidation of Studio 88.
- **Operational Cycles:** Working capital funding remains a key operational focal point due to the structural funding requirements of the credit sales segment.

4. DRIVER-BASED FORECAST METHODOLOGY

The 5-year forecast model (FY2026E–FY2030E) uses a driver-based forecasting approach rather than relying solely on historical trend extrapolation:

- **Key Forecast Drivers:** Integration of explicit volume/price growth trajectories, gross margin optimisation vectors, and scalable operating expense ratios.
- **Dynamic Working Capital Schedules:** Balances for inventory, accounts receivable, and accounts payable are driven dynamically via operational day-count metrics (DIO, DSO, DPO) rather than hardcoded trend assumptions, tracking true cash conversion cycles.
- **Capital Allocation Tracking:** Forward CAPEX plans, depreciation roll-forwards, and corporate tax schedules are completely tied to explicit operational scaling indicators.

5. FCFF VALUATION & DISCOUNTING ARCHITECTURE

Intrinsic corporate value was extracted using a standard Free Cash Flow to Firm (FCFF) valuation framework. The sequential valuation logic is mapped out below:

FREE CASH FLOW TO FIRM (FCFF) DISCOUNTING PATH

1. Forecast EBIT via Segments → 2. Derive NOPAT ($\text{EBIT} \times [1 - t]$)
3. (+) Add Back Non-Cash Expenses (Depreciation & Amortisation)
4. (-) Deduct Capital Expenditures (CAPEX Growth Schedule)
5. (±) Adjust for Net Changes in Working Capital (DIO/DSO/DPO Day Schedules)
6. Discount Discrete FCFF Timeline via Derived WACC (13.85%)
7. Compute Terminal Value using the Gordon Growth Framework (3.0% stable g)

6. MULTI-CASE SCENARIO FRAMEWORK

Because intrinsic DCF valuations are highly sensitive to long-term macro and structural parameters, a dedicated multi-case scenario engine was embedded into the front-end dashboard to evaluate valuation sensitivity under different operating conditions:

- **Bull Case (Implied Share Price: R230):** Assumes heightened volume performance, minimized operating cost inflation, optimisation of capital structure, and an aggressive terminal growth rate.
- **Base Case (Implied Share Price: R219):** Anchored to normalised discount rate inputs, current market operating conditions, and a stable operational margin recovery timeline.
- **Bear Case (Implied Share Price: R206):** Factors in persistent consumer price index pressures, compressed volume parameters, an elevated WACC discount rate, and a lower long-term terminal growth profile.

MR PRICE GROUP (MRP) - VALUATION DASHBOARD

Scenario Selection & Key Valuation Outputs

Scenario Selection	
1. Select Scenario	2
Base Case: Current Market View	

Intrinsic Value Summary	
Implied Equity Value per Share:	219
Current Market Price (MRP): (As at 26 May 2026)	156,52
Total Upside / (Downside)	40,2%

Live Scenario Assumptions	
Revenue Growth Adjustment	0,00%
Operating Expense (OpEx) Adjustment	0,00%
WACC / Discount Rate Adjustment	0,00%
Terminal Growth (g) Adjustment	0,00%

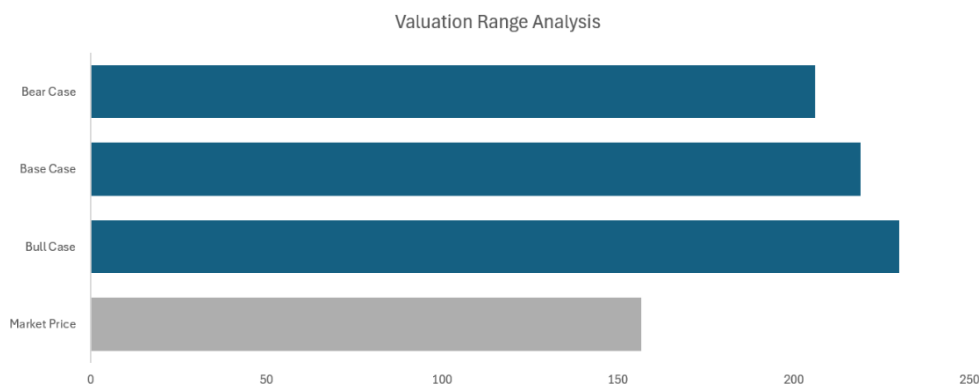


Figure 1: Interactive valuation dashboard with dynamic scenario selection, implied equity value outputs and valuation range analysis.

7. SENSITIVITY ANALYSIS TAKEAWAYS

The model contains automated, two-dimensional Excel sensitivity matrices tracking **WACC vs. Terminal Growth Rate** and **Revenue Growth vs. Operating Expense Ratios**. The output analytics reveal:

- **Discount Sensitivity:** Implied intrinsic value is highly responsive to minor shifts in the WACC framework, highlighting the impact of sovereign cost-of-capital movements.
- **Terminal Assumptions:** Small adjustments in the long-term stable terminal growth rate materially affect the implied enterprise value.
- **Operating Leverage:** Marginal cost-saving improvements significantly expand free cash flow outputs.

Share Price Sensitivity						
WACC		Terminal Growth				
	219	2,00%	2,50%	3,00%	3,50%	4,00%
	10,00%	269	283	299	317	338
	10,50%	258	270	284	300	318
	11,00%	248	259	271	285	300
	11,50%	239	248	259	272	286
	12,00%	230	239	249	260	272
	12,50%	223	231	240	250	261
	13,00%	216	224	232	241	251
	13,50%	210	217	224	232	241
	14,00%	205	211	218	225	233

Figure 2: Equity valuation sensitivity analysis across WACC and terminal growth assumptions

Operational Sensitivity (Revenue Growth Vs OpEx %)								
					Revenue Growth			
	219	3%	4%	5%	6%	7%	8%	9%
OpEx %	25%	219	221	222	224	226	228	230
	26%	218	220	222	223	225	227	229
	27%	217	219	221	222	224	226	228
	28%	216	218	220	221	223	225	227
	29%	215	217	219	220	222	224	226
	30%	214	216	218	219	221	223	225

Figure 3: Operational sensitivity analysis showing implied equity value under varying revenue growth and operating expense assumptions

8. KEY MODEL FEATURES & TECHNICAL ATTRIBUTES

The financial model is built using professional financial modelling practices, and includes the following key features:

- **Fully Integrated 3-Statement Architecture:** Fully integrated financial statement linkages where net income flows directly to cash reserves, backed by active, automated balance sheet balancing checks.
- **Interactive Portfolio Dashboard:** Real-time front-end layout allowing immediate scenario switches, visibility into operational outputs, and integration with supporting schedules and roll-forwards.
- **Structural Auditing Security:** Zero hardcoded metrics inside calculations, protecting structural calculation

integrity.

9. PROFESSIONAL CONCLUSION

This project demonstrates the application of financial modelling, forecasting, and valuation techniques using a real listed South African company. By analyzing real market corporate filings and constructing an interactive forecasting tool, this model demonstrates practical proficiency in financial model construction, macro driver integration, multi-stage valuation, risk-based scenario testing, and dynamic cash flow mapping. Overall, the project demonstrates the integration of accounting, corporate finance, and financial modelling principles within a practical business valuation framework.